

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: adequate

Top improvement

Sanity-check lever math against the full P&L before stating it. A price increase dilutes labor and overhead too, not just COGS. A 10% rise with no volume loss lifts margin from 6% to about 14.5% (roughly 8.5 points, not 5). Restoring 24% needs about a 24% increase, not 38%. Use the same contribution logic to set a breakeven volume threshold (about 19%) instead of an arbitrary 5% traffic trigger.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a quantified hypothesis tied to the case facts rather than reciting a template.

"Since revenue is actually up 15% while margin fell from 24% to 6%, that's an 18-point swing — this smells like a cost problem rather than a demand problem, but I want to confirm the revenue growth is healthy before I assume that."

What needs work

The initial third bucket overlapped the other two, and the candidate only noticed once the interviewer asked about MECE, but then cleanly rebuilt the tree around the profit equation and prioritized costs with a clear reason.

"Third, external factors: commodity prices, wage inflation, lease renewals."

"Fairly MECE on the P&L side, but my third bucket overlaps the first two — commodity prices and wages are drivers of cost lines, not a separate branch."

"Cleaner version: revenue = price × volume, cost = fixed vs. variable, and then drivers sit underneath each."

"I'd prioritize costs. With a flat 200-store footprint, the 15% is same-store growth, so volume or ticket is up and the business is selling more while keeping less."

Prioritization was inconsistent: the candidate hypothesized costs, then asked to start on the revenue side.

"Can I start with the revenue side — do we know how much of the 15% is new locations versus existing ones?"

The objective (find the root cause and reverse it) was never restated, and the structure was not linked to the CEO's decision.

"So I'd break it into three buckets."

Missed opportunities

Turn 1, the opening framework.

A great answer: "The CEO wants to know why margin fell 18 points despite 15% growth, and how to reverse it. Profit is revenue minus cost. On revenue: volume, meaning stores × traffic × items per visit, and price. On cost: COGS, labor and overhead, each as a percentage of revenue. My hypothesis is that COGS is the driver, because revenue grew, so I'd start there. I'd also check whether peers are seeing the same squeeze, which tells us whether we have pricing room."

Quantitative & Analytical Rigor

adequate

What went well

The candidate decomposed COGS correctly into bean and non-bean contributions, converting share-of-COGS into points of revenue, and the result reconciled exactly.

"Checking it: beans at 25% of 42 points = 10.5 points, up 40% '14.7, so +4.2."

"Everything else is 31.5 points, up 37.5% '43.3, so +11.8. Total 58.0 points, which reconciles exactly to the reported COGS line."

The candidate sized the problem in dollars and sanity-checked it against the earlier estimate.

"Let me size it. 200 stores × \$2.4M = \$480M in revenue today."

"Together \$86.4M, which lines up with the \$86M I estimated."

What needs work

The candidate voiced several internally inconsistent figures without checking them first (a 30–35% COGS base plus a 15-point jump gives 45–50%, not 48–50%, and a dairy doubling with other inputs up 25% does not add to 16 points). The dairy error was caught only after the interviewer intervened, though once asked to show the arithmetic, the candidate laid out the setup step by step and owned the inconsistency.

"If COGS was at the low end two years ago and absorbed most of that \$86M, it would now be sitting somewhere near 48–50% of revenue — call it a 15-point jump."

"If milk is roughly 30% of COGS at a specialty chain, then to move the total line 16 points, dairy alone couldn't do it unless it nearly doubled — which would imply the remaining inputs are running near 25% above where they were."

“So my two halves weren’t consistent.”

“Overall that’s $58/42 = 1.38$, so the basket is up about 38% per unit, since prices are flat and volume scales both sides equally.”

The price-lever math used the wrong quantity because it ignored that price also dilutes labor and overhead. Restoring a 24% margin needs revenue of about $0.94/0.76 \times 1.24$, so roughly a 24% price increase, not 38%. A 10% increase (no volume loss) lifts margin from 6% to about 14.5%, roughly 8.5 points, not 5. Bringing COGS back to 42% is not the same target as restoring a 24% margin.

“ $58/42 = 1.38$, so about a 38% price increase.”

“A more modest 10% increase takes COGS from 58 to about 53 points and lifts margin roughly 5 points”

Missed opportunities

Turn 15, sizing the pricing lever.

A great answer: “Today costs are 94% of revenue. If those dollars stay fixed, a 10% price rise makes margin $1 - 0.94/1.10 = 14.5\%$, so about 8.5 points back. Restoring the full 24% needs about $0.94/0.76 \times 1.24$, roughly a 24% increase. Each item earns 52 cents of contribution after a 10% rise versus 42 cents today, so volume could fall up to about 19% before profit dollars fall. That’s our elasticity cushion.”

Data & Exhibit Interpretation

strong

What went well

The candidate isolated COGS as the driver and checked that the line items reconcile to the 18-point decline.

“COGS is the whole story. +16 points, and overhead +2, which sums exactly to the 18-point margin decline — so nothing else is moving.”

The candidate tested whether beans could explain the full move, showed they cannot, and drew the so-what of broad-based inflation plus a pricing failure.

“My dairy story doesn’t hold — this is broad-based, not one input.”

“The real root cause, then, isn’t that costs rose — it’s that the client absorbed 38% input inflation with zero price movement in two years.”

The candidate read the trend in the exhibit to establish urgency and proposed a clear next data request.

“If nothing changes, next year the chain is roughly break-even to negative.”

“One thing I’d want before recommending: does the 15% revenue growth come from more transactions or a higher average ticket? Is that available?”

What needs work

The candidate misread the attach-rate data as unfavorable. Extra items still carry about 42% gross margin and spread fixed labor and overhead, so they add profit dollars.

“That’s actually unfavorable, because every incremental item carries the inflated 58% cost.”

The flat labor ratio was read as a productivity gain. Labor dollars grew about 15% while transactions grew only about 5%, so labor per transaction actually rose.

“Labor flat at 22% while volume grew actually means labor productivity improved slightly, so that’s not where to look.”

Missed opportunities

Turn 13, on the ticket data (\$6.20 ‘ \$6.80 from more items per visit).

A great answer: “Higher attach is good news. Each extra item still contributes about 42 cents per dollar and leverages labor and rent. The problem is purely unit cost versus unchanged menu prices, so I’d protect attach while repricing.”

Business Judgment & Insight

adequate

What went well

The candidate correctly reframed the root cause as unpriced inflation and made pricing the commercially sound lead lever.

“The real root cause, then, isn’t that costs rose — it’s that the client absorbed 38% input inflation with zero price movement in two years.”

What needs work

Several assumptions were asserted rather than justified, including the attach-rate and labor-productivity claims above and an unverified inference about the client’s hedging.

“Two, procurement — forward contracts or hedging on beans and dairy, which they clearly don’t have if they ate 38% spot inflation.”

“Labor flat at 22% while volume grew actually means labor productivity improved slightly, so that’s not where to look.”

The candidate proposed waste and portion fixes after concluding there was no evidence of waste, which is internally inconsistent.

“There’s no single culprit to renegotiate away, and no evidence of waste, shrink, or portion creep, since the math closes without any residual.”

"Three, portion and waste standardization, plus reviewing whether low-margin SKUs should be cut entirely."

The candidate surfaced elasticity risk with a practical mitigation (a pilot against controls, plus a fallback), but the 5% traffic-drop trigger is arbitrary: at a 10% price rise, breakeven volume loss is about 19%, so the threshold could kill a profitable move.

"If pilot traffic drops more than about 5%, I'd step the increase down and lean harder on procurement."

"I'd pilot in a subset of the 200 stores before a national rollout."

Missed opportunities

Turn 17, setting the pilot kill criterion.

A great answer: "I'd judge the pilot on profit dollars per store, not traffic alone. With contribution rising from 42 to 52 cents per item, we can lose up to about 19% of volume and still break even. I'd also vary the increase by SKU: more on specialty drinks where demand is stickier, less on drip coffee."

Creativity & Brainstorming

adequate

What needs work

The brainstorm was a numbered list rather than an organizing structure such as revenue vs. cost, or near-term vs. structural.

"Beyond pricing, three levers."

The candidate produced several distinct, relevant levers beyond pricing and ranked them with reasons when asked, but all the ideas were conventional (mix, hedging, waste, SKU cuts), with no non-obvious idea.

"One, menu mix — food and packaging-heavy items are likely the worst offenders; push customers toward high-margin espresso drinks rather than just more items."

"Beyond pricing, three levers."

"Procurement second, because hedging stops the bleed from continuing at 8 points a year, but it doesn't recover what's already lost."

Missed opportunities

Turn 13, 'beyond pricing, what else could the client do?'

A great answer: "I'd split this into price architecture, input cost and mix. On price: tiered or selective increases on specialty SKUs, and larger-size upsells. On input cost: multi-year bean contracts, renegotiated dairy and packaging, and a lower-cost house blend for value locations. On mix: bundles that steer attach toward high-margin drinks. The house blend is the most interesting, because it attacks the bean cost directly without touching the premium menu."

Synthesis & Recommendation

strong

What went well

The candidate led with a committed, answer-first recommendation backed by the core analytic evidence.

"My recommendation: Brew & Bean should raise menu prices immediately — that's the root cause and the fastest fix."

"The client has not raised prices in two years, so they absorbed all of it."

The candidate gave clear sequencing, metrics to watch, and a named risk with a contingency, though 'immediately' sits awkwardly next to a quarter-long pilot, and calling pricing 'the root cause' blurs cause (input inflation) with fix (pricing).

"What I'd watch: transaction count in pilot stores versus control, to catch elasticity; attach rate, since more items at 58% cost isn't actually helping; and COGS as a percent of revenue monthly."

"Biggest risk is traffic — transactions are only up 5%, so demand isn't robust. If pilot traffic drops more than about 5%, I'd step the increase down and lean harder on procurement."

"My recommendation: Brew & Bean should raise menu prices immediately — that's the root cause and the fastest fix."

What needs work

The recommendation never says how far the package gets toward the 24% target, and the margin recovery from pricing is understated (about 8.5 points, not 5).

"First, a 10–12% price increase, piloted across maybe 20 stores for one quarter, then rolled out — that recovers roughly 5 points of margin."

Missed opportunities

Turn 17, closing the recommendation.

A great answer: "Together, a 10–12% selective price increase is worth about 8–10 margin points, and procurement contracts protect against the next 8 points of drift. That gets us back to the mid-teens within a year. Mix work closes the remaining gap toward 24%."

Communication & Delivery

strong

What went well

Answers were consistently top-down, with a headline first and then support.

"COGS is the whole story."

"Pricing, clearly first — and it's not close."

The candidate used hypothesis-driven phrasing and explicit structure narration throughout, but some hypothesis questions were long and loosely reasoned before being voiced, which forced the interviewer to ask for the arithmetic.

"this smells like a cost problem rather than a demand problem"

"So I'd break it into three buckets."

"If milk is roughly 30% of COGS at a specialty chain, then to move the total line 16 points, dairy alone couldn't do it unless it nearly doubled — which would imply the remaining inputs are running near 25% above where they were."

The candidate built directly on interviewer cues and new data, updating views openly.

"My dairy story doesn't hold — this is broad-based, not one input."

Missed opportunities

Turn 7, before floating the dairy hypothesis.

A great answer: "Rather than guess a split, can I get the COGS breakdown by input and each input's price change? Then I can tell whether one item or the whole basket drove the 16 points."

Pushback, Composure & Case Leadership

strong

What went well

When challenged on MECE-ness, the candidate acknowledged the specific flaw and proposed a cleaner structure with reasoning.

"Fairly MECE on the P&L side, but my third bucket overlaps the first two — commodity prices and wages are drivers of cost lines, not a separate branch."

When asked to show the arithmetic, the candidate owned the error without defensiveness and rebuilt it transparently, but errors surfaced only under interviewer challenge. Self-checking before speaking would have avoided needing the prompt.

"Sure, let me lay it out — and I think I was sloppy."

"So my two halves weren't consistent."

"If milk is roughly 30% of COGS at a specialty chain, then to move the total line 16 points, dairy alone couldn't do it unless it nearly doubled — which would imply the remaining inputs are running near 25% above where they were."

The candidate drove the case by proactively requesting the data needed for the next step.

"One thing I'd want: has the client raised menu prices in that window?"

"One thing I'd want before recommending: does the 15% revenue growth come from more transactions or a higher average ticket? Is that available?"

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:30

Let me take a second to structure this.

Since revenue is actually up 15% while margin fell from 24% to 6%, that's an 18-point swing — this smells like a cost problem rather than a demand problem, but I want to confirm the revenue growth is healthy before I assume that.

So I'd break it into three buckets. First, revenue quality: is the 15% coming from new store openings, same-store traffic, or price increases? Growth from new stores can mask flat or declining per-store performance. Second, cost structure: split COGS from operating expenses, and within each, find which line grew faster than revenue. For a coffee chain I'd expect COGS to be coffee, dairy, cups, and food, and opex to be labor, rent, and utilities. Third, external factors: commodity prices, wage inflation, lease renewals.

Can I start with the revenue side — do we know how much of the 15% is new locations versus existing ones?

Interviewer · 1:32

Okay. Is that structure MECE, and if not, what's missing? Then tell me which branch you'd prioritize, and why. On what you asked for: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. On the data you asked for — I'll come to that shortly.

Candidate · 3:02

Fairly MECE on the P&L side, but my third bucket overlaps the first two — commodity prices and wages are drivers of cost lines, not a separate branch. Cleaner version: revenue = price × volume, cost = fixed vs. variable, and then drivers sit underneath each. I'm also missing anything below operating income — interest, depreciation from a remodel program, taxes — which could absolutely explain margin without touching operations.

I'd prioritize costs. With a flat 200-store footprint, the 15% is same-store growth, so volume or ticket is up and the business is selling more while keeping less. That's almost definitionally a cost-per-unit story.

One thing I'd want: has the client raised menu prices in that window? If the 15% is pure traffic with flat pricing, input inflation would hit margin directly with no offset.

Interviewer · 3:05

Menu prices have not changed in two years. Average revenue per store is \$2.4M a year. Okay. Which cost line would you want to look at first, and why?

Candidate · 4:35

COGS first — specifically the dairy and coffee inputs, since those are the volume-driven lines and volume is clearly up with prices flat.

Let me size it. 200 stores × \$2.4M = \$480M in revenue today. An 18-point margin drop on that base is roughly \$86M of profit gone, and with no price change, essentially all of it has to show up as cost growth outrunning the 15% revenue growth.

For a specialty coffee chain I'd expect COGS around 30–35% of revenue and labor in the high 20s. If COGS was at the low end two years ago and absorbed most of that \$86M, it would now be sitting somewhere near 48–50% of revenue — call it a 15-point jump. Is that roughly the magnitude the data shows on the COGS line, or is the damage split more evenly with labor?

Interviewer · 4:37

I'll give you the cost lines so you can see the split yourself. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Where does the damage actually sit, and how does that compare to the \$86M you sized?

Candidate · 6:07

COGS is the whole story. +16 points, and overhead +2, which sums exactly to the 18-point margin decline — so nothing else is moving.

Sizing it: 16% of \$480M is \$76.8M from COGS, and 2% is \$9.6M from overhead. Together \$86.4M, which lines up with the \$86M I estimated. Labor flat at 22% while volume grew actually means labor productivity improved slightly, so that's not where to look.

Now I want to get inside the COGS line. Prices are flat and we're selling more units, so this is cost per unit, not mix of stores. Dairy and green coffee are the usual culprits.

If milk is roughly 30% of COGS at a specialty chain, then to move the total line 16 points, dairy alone couldn't do it unless it nearly doubled — which would imply the remaining inputs are running near 25% above where they were. Is that roughly where it landed?

Interviewer · 6:10

Walk me through that last step. How did you get from milk being 30% of COGS to dairy nearly doubling, and the other inputs running 25% higher? Show me the arithmetic. On the data you asked for — I'll come to that shortly.

Candidate · 7:40

Sure, let me lay it out — and I think I was sloppy.

Old COGS is 42 points of revenue. Milk at 30% of that is 12.6 points; everything else is 29.4 points. We need the line to grow 16 points total, to 58.

Overall that's $58/42 = 1.38$, so the basket is up about 38% per unit, since prices are flat and volume scales both sides equally.

Now the split. If dairy doubled, that's +12.6 points on its own, leaving only 3.4 points from everything else — $3.4/29.4$ is about 12%, not 25%. So my two halves weren't consistent. Running it the other direction: if other inputs are up 25%, that's $29.4 \times 0.25 = 7.35$ points, leaving 8.65 points from dairy, or a 69% dairy increase.

So the honest statement is roughly: dairy up ~70% with everything else up ~25%. Does that pairing match the data?

Interviewer · 7:42

Your arithmetic is consistent now. Here's what the inputs show, so you can test your pairing against it. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Coffee beans were 25% of COGS two years ago. Where does your dairy-driven story stand against these?

Candidate · 9:12

My dairy story doesn't hold — this is broad-based, not one input.

Checking it: beans at 25% of 42 points = 10.5 points, up 40% ' 14.7, so +4.2. Everything else is 31.5 points, up 37.5% ' 43.3, so +11.8. Total 58.0 points, which reconciles exactly to the reported COGS line.

So the whole 16-point move is explained by input inflation at roughly 38% across the board — beans and non-bean inputs moved almost identically. There's no single culprit to renegotiate away, and no evidence of waste, shrink, or portion creep, since the math closes without any residual.

The real root cause, then, isn't that costs rose — it's that the client absorbed 38% input inflation with zero price movement in two years. That's a pricing failure as much as a cost shock.

One thing I'd want before recommending: does the 15% revenue growth come from more transactions or a higher average ticket? Is that available?

Interviewer · 9:15

The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Take a look at the exhibit, and tell me what it adds to your view. Then, beyond pricing, what else could the client do?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 10:45

The exhibit says this is a steady bleed, not a shock — COGS moved 42 ' 50 ' 58, a clean 8 points a year, and profit 24 ' 15 ' 6. If nothing changes, next year the chain is roughly break-even to negative. That urgency matters for the recommendation.

Also worth noting the 15%: ticket is up 10%, so transactions are only up about 5%. And the ticket growth is attach rate, not price — customers buying more items. That's actually unfavorable, because every incremental item carries the inflated 58% cost.

Beyond pricing, three levers. One, menu mix — food and packaging-heavy items are likely the worst offenders; push customers toward high-margin espresso drinks rather than just more items. Two, procurement — forward contracts or hedging on beans and

dairy, which they clearly don't have if they ate 38% spot inflation. Three, portion and waste standardization, plus reviewing whether low-margin SKUs should be cut entirely.

Interviewer · 10:47

Okay. Which of those levers, together with pricing, would you rank first for the CEO, and why?

Candidate · 12:17

Pricing, clearly first — and it's not close.

The arithmetic: to restore the old 24% margin, COGS needs to come back from 58 points to 42. If I hold input costs fixed and only raise prices, I need revenue to grow enough that the same dollar costs are 42% of the new base — $58/42 = 1.38$, so about a 38% price increase. That's not realistic in one move, but it frames the gap. A more modest 10% increase takes COGS from 58 to about 53 points and lifts margin roughly 5 points — meaningful, immediate, and it requires no supplier negotiation or operational change.

Procurement second, because hedging stops the bleed from continuing at 8 points a year, but it doesn't recover what's already lost.

Menu mix third — real, but slower and harder to measure.

My main risk on pricing is elasticity. Transactions are only up 5%, so traffic isn't especially strong. I'd pilot in a subset of the 200 stores before a national rollout.

Interviewer · 12:19

Okay. Put that together as your recommendation to the CEO: what do you tell them to do, in what order, and what do you watch to know it's working?

Candidate · 13:49

My recommendation: Brew & Bean should raise menu prices immediately — that's the root cause and the fastest fix.

The reasoning: COGS went from 42 to 58 points of revenue, which accounts for 16 of the 18 points of margin loss, and that's entirely input inflation of about 38% across beans, dairy, packaging, and food. Labor is flat and overhead moved only 2 points. The client has not raised prices in two years, so they absorbed all of it.

Sequencing. First, a 10–12% price increase, piloted across maybe 20 stores for one quarter, then rolled out — that recovers roughly 5 points of margin. Second, lock in procurement with forward contracts so the 8-points-a-year bleed stops. Third, rework menu mix toward high-margin drinks over food.

What I'd watch: transaction count in pilot stores versus control, to catch elasticity; attach rate, since more items at 58% cost isn't actually helping; and COGS as a percent of revenue monthly.

Biggest risk is traffic — transactions are only up 5%, so demand isn't robust. If pilot traffic drops more than about 5%, I'd step the increase down and lean harder on procurement.

Interviewer · 13:51

That's time. Thanks for working through it — your written report will follow.